

MODULE 18 · DOMAIN 4 - BILLING, PRICING, AND SUPPORT

Pricing Models and Purchase Options

What commitment buys, what interruption saves, and what you pay for without noticing.

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You pay less by **committing**, or by accepting **interruption**. Those are the only two levers.

The four purchase options

OPTION	WHAT YOU GIVE	WHAT YOU GET
On-Demand	Nothing	Full flexibility, highest price
Savings Plans	A spend commitment for 1 or 3 years	Up to 72% off, flexible across services
Reserved Instances	A usage commitment for 1 or 3 years	Up to 72% off, tied to instance attributes
Spot Instances	Acceptance of interruption	Up to 90% off spare capacity

ON THE EXAM

Read the middle column. Every discount is paid for with either commitment or the risk of interruption.

On-Demand or Reserved?

ON-DEMAND

No commitment at all

- Pay per second or hour, stop any time
- Best for unpredictable or short-lived workloads
- Best for first-time workloads you cannot size yet
- The most expensive per hour

RESERVED INSTANCES

One or three year commitment

- Significant discount for steady, known usage
- Best for workloads running continuously
- You pay whether you use it or not
- No good if the workload might disappear

THE TIEBREAKER

Steady, predictable, running always means Reserved. Unpredictable, temporary or new means On-Demand.

Reserved Instances in detail

- ◆ **Terms are one year or three years.** Three years discounts more than one.
- ◆ **Payment options:** All Upfront saves most, then Partial Upfront, then No Upfront.
- ◆ **Standard** reserved instances discount most but lock the instance attributes.
- ◆ **Convertible** reserved instances discount less but let you change instance family, operating system or tenancy.
- ◆ In an organisation, an unused reservation in one account can apply to another account's matching usage.

ON THE EXAM

Might need to change instance type later means Convertible. Certain of the requirement for three years means Standard.

Savings Plans

- ◆ **You commit to a dollar amount per hour** for one or three years, rather than to specific instances.
- ◆ **Compute Savings Plans** are the most flexible. They apply across instance families, Regions, and to Fargate and Lambda.
- ◆ **EC2 Instance Savings Plans** discount more but commit you to an instance family in one Region.
- ◆ Usage above the commitment is simply billed at On-Demand rates. Nothing breaks.
- ◆ Savings Plans are generally simpler to manage than Reserved Instances for the same saving.

ON THE EXAM

Applies to Fargate and Lambda as well as EC2 is unique to Compute Savings Plans. Reserved Instances never cover those.

Reserved Instances or Savings Plans?

RESERVED INSTANCES

Commit to instance attributes

- Tied to family, size, Region and platform
- Standard or Convertible
- Can be sold in the Reserved Instance Marketplace
- The older mechanism

SAVINGS PLANS

Commit to hourly spend

- Applies automatically to matching usage
- Compute plans also cover Fargate and Lambda
- Nothing to modify when workloads change
- Usually the simpler recommendation

THE TIEBREAKER

If the scenario mentions Fargate or Lambda alongside EC2, only a Compute Savings Plan covers all three.

Spot Instances

- ◆ **Up to ninety percent off**, using spare AWS capacity.
- ◆ AWS can reclaim the instance with a two-minute warning when it needs the capacity back.
- ◆ Suitable for fault-tolerant, stateless, flexible or restartable work.
- ◆ Batch processing, data analysis, CI builds and rendering are the named use cases.
- ◆ Never suitable for anything that must run to completion without interruption, or that holds state in memory.

ON THE EXAM

The scenario must say the work can be interrupted, restarted or is fault tolerant.
Without that, Spot is wrong.

Tenancy options

- ◆ **Shared tenancy** is the default. Your instances share physical hardware with other customers, isolated by the hypervisor.
- ◆ **Dedicated Instances** run on hardware dedicated to your account, but you get no visibility into it.
- ◆ **Dedicated Hosts** give you the physical server itself, with visibility of sockets and cores.
- ◆ Dedicated Hosts are the answer for socket-based or core-based licences you already own.
- ◆ Both cost more than shared tenancy, and both are chosen for compliance or licensing rather than performance.

ON THE EXAM

Bring your own licence tied to physical cores or sockets means Dedicated Hosts, not Dedicated Instances.

Which purchase option?

IF THE WORKLOAD IS	CHOOSE
Steady and running continuously for years	Reserved Instances or Savings Plans
Steady, but might move to Fargate or Lambda	Compute Savings Plans
Interruptible, stateless, restartable	Spot Instances
Short-term, unpredictable, or brand new	On-Demand
Bound by a socket-based software licence	Dedicated Hosts
Needing guaranteed capacity in one AZ, no discount	On-Demand Capacity Reservations

ON THE EXAM

Read the workload's shape, not its size. Predictability and interruptibility decide almost every one of these.

Compute is what people watch. **Data transfer** is what surprises them.

Data transfer, the four rules

- ◆ **Data transfer into AWS from the internet is free.** Uploading costs nothing.
- ◆ **Data transfer out to the internet is charged,** and this is where most surprise costs come from.
- ◆ **Transfer between Availability Zones** in the same Region is charged.
- ◆ **Transfer between Regions** is charged, and costs more than between zones.
- ◆ Transfer within a single Availability Zone using private addresses is free.

ON THE EXAM

In is free, out costs. If a cost question involves moving data, check which direction it is going first.

The AWS Free Tier

- ◆ **The exam teaches three parts:** Always Free, twelve months free, and short-term trials.
- ◆ **On 15 July 2025 AWS replaced this for new accounts** with a credit model.
- ◆ New accounts choose a Free or Paid plan, get \$100 credit plus up to \$100 more, and the Free plan runs six months.
- ◆ Accounts created before that date keep the old twelve-month model. Always Free continues under both.
- ◆ **Answer with the three-part model on the exam.** It is what the question pool describes.

ON THE EXAM

Always Free survived both models. If a question is about a permanently free allowance, that answer is safe either way.

What is free and what is not

- ◆ **Free services:** AWS Organizations, IAM, VPC itself, Auto Scaling, CloudFormation, Elastic Beanstalk.
- ◆ **You still pay for what they create.** Beanstalk is free; its EC2 instances are not.
- ◆ A stopped EC2 instance stops compute charges but its EBS volume keeps billing.
- ◆ NAT gateways, unattached Elastic IP addresses and idle load balancers all cost money doing nothing.
- ◆ Consolidated billing aggregates usage across accounts, so volume discount tiers are reached sooner.

ON THE EXAM

The service is free but the resources are not is the most common distractor shape in this domain.

A company runs a customer-facing web application on twenty EC2 instances. The application has run continuously for four years and is expected to continue indefinitely. The instance type has not changed and is not expected to.

The company wants the lowest possible cost for this workload.

Which purchase option should the company choose?

- ☐ A On-Demand Instances
- ☐ B Spot Instances
- ☐ C Three-year Standard Reserved Instances
- ☐ D One-year Convertible Reserved Instances

◆ PAUSE AND DECIDE

Which purchase option should the company choose?

- A

 On-Demand Instances
No commitment and the highest price, for a workload that is as predictable as they come.
- B

 Spot Instances
Customer-facing and continuous. Interruption with two minutes' notice would take the site down.
- C

 Three-year Standard Reserved Instances
Longest term and least flexibility, which is exactly what earns the deepest discount here.
- D

 One-year Convertible Reserved Instances
Both a shorter term and paid-for flexibility the company does not need. Less discount for no benefit.

THE SIGNAL

Four years of history, indefinite future, unchanging instance type. Every clause argues for maximum commitment.

A media company renders video overnight. Each render job takes about twenty minutes, jobs are independent, and any job that fails can simply be run again. The total volume varies from night to night.

The company wants the lowest possible compute cost and has no deadline beyond the following morning.

Which purchase option is most appropriate?

- | | |
|--|--|
| ☐ A On-Demand Instances | ☐ B Spot Instances |
| ☐ C Three-year Reserved Instances | ☐ D Dedicated Hosts |

◆ PAUSE AND DECIDE

Which purchase option is most appropriate?

- A

 On-Demand Instances
Would work and requires no commitment, but costs far more than Spot for work that tolerates interruption.
- C

 Three-year Reserved Instances
The volume varies nightly, so committing to a fixed level would pay for capacity often unused.
- B

 Spot Instances
Independent, restartable jobs with a generous deadline. Every condition Spot requires is stated.
- D

 Dedicated Hosts
Dedicated hardware at a premium, for a workload with no licensing or compliance requirement.

THE SIGNAL

Independent, re-runnable and no tight deadline are the three things Spot needs. All three are stated explicitly.

A company currently runs a steady workload on EC2 and is committed to a large discount for three years. Over that period it expects to move parts of the workload to AWS Fargate and to rewrite some components as AWS Lambda functions.

It wants its commitment to keep applying as the architecture changes.

Which purchase option should the company choose?

- | | |
|--|---|
| ☐ A Standard Reserved Instances | ☐ B Convertible Reserved Instances |
| ☐ C Compute Savings Plans | ☐ D EC2 Instance Savings Plans |

◆ PAUSE AND DECIDE

Which purchase option should the company choose?

- A

 Standard Reserved Instances
Locked to instance attributes and covering EC2 only. The commitment would be stranded as workloads move.
- B

 Convertible Reserved Instances
Allows changing instance family, but still covers only EC2. Fargate and Lambda are outside it entirely.
- C

 Compute Savings Plans
Applies across EC2, Fargate and Lambda automatically, so the commitment follows the architecture.
- D

 EC2 Instance Savings Plans
Deeper discount, but committed to an instance family in one Region and limited to EC2.

THE SIGNAL

Fargate and Lambda named alongside EC2 leaves exactly one option. Reserved Instances never cover either.

A finance team is reviewing an unexpectedly large AWS bill. Investigation shows charges for a large volume of data leaving the Region, several Elastic IP addresses not attached to anything, and a NAT gateway processing significant traffic.

They also see charges for EBS volumes attached to instances that have been stopped for months.

Which statement about these charges is correct?

- ☐ A Stopped instances incur no charges of any kind
- ☐ B Data transfer into AWS is charged; transfer out is free
- ☐ C All four are legitimate charges the company must address by changing what it runs
- ☐ D Unattached Elastic IP addresses are always free

◆ PAUSE AND DECIDE

Which statement about these charges is correct?

- A

 Stopped instances incur no charges of any kind
Compute charges stop, but attached EBS volumes keep billing. That is one of the four charges listed.
- B

 Data transfer into AWS is charged; transfer out is free
Reversed. Inbound transfer is free and outbound is charged, which is the opposite of this statement.
- C

 All four are legitimate charges the company must address by changing what it runs
Outbound transfer, idle Elastic IPs, NAT processing and EBS on stopped instances all genuinely bill.
- D

 Unattached Elastic IP addresses are always free
The reverse is closer to true. An Elastic IP attached to a running instance is free; an idle one is charged.

THE SIGNAL

Three of the four options state a pricing rule backwards. Knowing the direction of each rule is the whole question.

A company must run a legacy database whose licence is sold per physical CPU socket. The licence agreement requires the company to demonstrate exactly how many sockets the software runs on, and the company already owns the licences. It wants to use them on AWS rather than buying new ones.

Which option meets this requirement?

- | | |
|---|--|
| ☐ A Default shared tenancy EC2 instances | ☐ B Dedicated Instances |
| ☐ C Dedicated Hosts | ☐ D Spot Instances |

◆ PAUSE AND DECIDE

Which option meets this requirement?

- A

 Default shared tenancy EC2 instances
Hardware is shared and invisible. The company could not demonstrate socket counts at all.
- B

 Dedicated Instances
The strongest distractor. Hardware is dedicated to the account, but you get no visibility of sockets or cores.
- C

 Dedicated Hosts
Gives the physical server with visibility of sockets and cores, which is what socket-based licensing needs.
- D

 Spot Instances
A pricing model, not a tenancy model. It says nothing about hardware visibility.

THE SIGNAL

Demonstrate how many sockets is the deciding phrase. Only Dedicated Hosts expose that; Dedicated Instances do not.

What to carry out of this module

- ◆ **Discounts come from commitment or from accepting interruption.** Nothing else.
- ◆ Steady and unchanging means Reserved. Steady but moving to Fargate or Lambda means Compute Savings Plans.
- ◆ **Spot needs three things stated:** interruptible, restartable, and no tight deadline.
- ◆ Socket-based licences mean Dedicated Hosts, because only they show you the sockets.
- ◆ Data in is free. Data out costs. Most pricing distractors state a rule backwards.

ON THE EXAM

The Free Tier changed for accounts created after 15 July 2025. The exam still teaches the three-part model.